



## BANGKO SENTRAL NG PILIPINAS

### OFFICE OF THE GOVERNOR

## MEMORANDUM NO. M-2022-049

**To : All Peso Real Time Gross Settlement Payment System (RTGS PS or *PhilPaSS<sup>plus</sup>*) Participants**

**Subject : Peso Real Time Gross Settlement (RTGS) Rules**

The Monetary Board (MB), in its Resolution No. 1680 dated 17 November 2022, approved the following rules covering the operation of the Peso Real Time Gross Settlement Payment System (RTGS PS or the *PhilPaSS<sup>plus</sup>*), which is a designated payment system under MB Resolution No. 992 dated 29 July 2021.

**Section 1.** The following sections shall be created in the Manual of Regulations for Payment Systems (MORPS):

### **Part 6. The Peso RTGS Payment System**

**601 Policy Statement.** The Peso Real Time Gross Settlement Payment System (RTGS PS) is critical for maintaining price and financial stability, as well as preserving public interest. This payment system ensures the smooth flow of funds between financial institutions that maintain settlement accounts (SAs) with the Bangko Sentral. It also facilitates funds transfers in financial markets where these institutions trade securities and foreign currencies for business and risk management purposes. By providing the settlement facility for the open market operations of the Bangko Sentral, the RTGS PS also supports the Bangko Sentral's mandate of maintaining price stability. Moreover, this system plays an indispensable role in upholding public welfare, enabling the efficient and low-risk settlement of retail payments in central bank money. In this regard, the Bangko Sentral adopts rules in its capacity as owner and operator of the RTGS PS to govern the operation of this designated payment system. These rules shall apply to the participants of the RTGS PS, including banks and other financial institutions, financial market infrastructures (FMIs), clearing switch operators (CSOs), and critical service providers (CSPs).

**602 Governance<sup>1</sup>.** The Bangko Sentral's Peso RTGS Management Committee (ManCom) shall manage the operation of the RTGS PS, which has been designated by the Monetary Board (MB) as a Systemically Important Payment System (SIPS). The ManCom is composed of officers of concerned Bangko Sentral units and departments, which are involved in sustaining the smooth functioning of the payment system. The ManCom reports to the Monetary Board through the Governor of the Bangko Sentral. In performing its function, the ManCom may seek guidance from the Bangko Sentral Deputy Governor who is responsible for payments and currency management.

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<sup>1</sup> The Bangko Sentral publishes a Primer on the Operation of the RTGS PS. The Primer covers Governance, Business Continuity Management, and Transaction Fees, among other matters pertaining to the RTGS PS.

The ManCom shall be responsible for sustaining the safe, efficient, and reliable operation of the RTGS PS and ensuring compliance of this payment system with regulatory expectations. In accomplishing this mandate, the ManCom performs the following key functions:

- a. Review and endorse for MB approval the policy proposals and/or amendments pertaining to the operation of the payment system;
- b. Oversee the implementation of programs, policies, and procedures, which are aimed at ensuring that the operation of the RTGS PS aligns with global standards or best practices and complies with laws, regulations, and MB directives on payment systems;
- c. Take initiatives or evaluate recommendations in response to the issues on the operation of the RTGS PS and the evolving needs of the payment participants; and
- d. Collaborate with the industry, local regulators, and foreign central banks, as applicable, on major RTGS PS rules and initiatives that can be successfully accomplished through partnership with them.

Consistent with the Bangko Sentral's Governance Policy for Operators of Payment Systems under Section 101 of the Manual of Regulations for Payment Systems (MORPS), the Bangko Sentral shall adopt the governance arrangement requirements to the extent applicable in the context of a payment system that is owned and operated by a central bank.

**603 Definition of Terms.** These rules use the following terms in addition to those defined in the MORPS:

- a. *Delivery versus Payment (DvP)* – a securities settlement method that guarantees the transfer of securities only after payment has been made<sup>2</sup>
- b. *Deferred Net Settlement (DNS)* – a settlement mechanism which settles on a net basis at the end of a pre-defined settlement cycle<sup>3</sup>
- c. *Gridlock* – a situation that can arise in a funds or securities transfer system, in which the failure of some transfer instructions to be executed (because the necessary funds or securities balances are unavailable) prevents a substantial number of other instructions from other participants from being executed<sup>4</sup>
- d. *Gridlock resolution* – the optimizing mechanism automatically initiated by the RTGS system to resolve a gridlock
- e. *Payment versus Payment (PvP)* – a process which ensures that the final transfer of a payment in one currency occurs if and only if the final transfer of a payment in another currency or currencies takes place<sup>5</sup>

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<sup>2</sup> In *bis.org glossary*. Retrieved from <https://www.bis.org/cpmi/publ/d00b.htm?&selection=26&scope=CPMI&c=a&base=term>

<sup>3</sup> *Ibid.* Retrieved from <https://www.bis.org/cpmi/publ/d00b.htm?&selection=24&scope=CPMI&c=a&base=term>

<sup>4</sup> *Ibid.* Retrieved from [https://www.bis.org/cpmi/glossary\\_030301.pdf](https://www.bis.org/cpmi/glossary_030301.pdf)

<sup>5</sup> *Ibid.* Retrieved from <https://www.bis.org/cpmi/publ/d00b.htm?&selection=50&scope=CPMI&c=a&base=term>

- f. *Real-Time Gross Settlement (RTGS)* – a system that provides real time settlement of payments, transfer instructions, or other obligations individually on a transaction-by-transaction basis<sup>6</sup>
- g. *Settlement* – an act that discharges obligations in respect of funds transfers between two or more parties<sup>7</sup>
- h. *Settlement account (SA)* – account maintained with the Bangko Sentral and used by a participant for settling financial transactions through the RTGS system

**604 Compliance with Laws, Regulations, and Standards.** The RTGS PS, which includes its participants, shall comply with laws and regulations on payment systems. The operation of the RTGS PS shall be aligned with the relevant principles for FMIs. Should there be a conflict between local and foreign laws or regulations in so far as the RTGS PS operation is concerned, the Philippine laws and regulations shall prevail.

**605 Participants.** The participants in the RTGS PS are, as follows:

- a. *Participants with SAs.* These include banks, non-bank financial institutions with quasi-banking functions, non-bank electronic money issuers, and government agencies, as well as Bangko Sentral departments that conduct monetary operations and those responsible for disbursing and receiving funds on behalf of the Bangko Sentral. The participating financial institutions may sponsor other entities into settlement.

Except for the Bangko Sentral departments, a Participation Agreement mutually executed with the Bangko Sentral shall document and govern the participation of these entities in the RTGS PS.

- b. *Sponsored Participants.* These are financial institutions sponsored into settlement through the RTGS system.

Any sponsorship into settlement shall comply with the following guidelines:

- (1) The transactions of a sponsored participant shall be considered as the sponsoring participant's own transactions. As such, the sponsoring participant shall be held responsible for any loss, liability, or damage caused by the sponsored participant insofar as settlement is concerned.
- (2) The sponsorship shall be covered by a formal contract between the sponsoring and sponsored participants. The contract shall include a provision addressing settlement default situations caused by either or both the sponsoring and the sponsored participants.
- (3) The sponsorship terms and conditions should promote access to the RTGS PS without compromising the safety and efficiency of the system.
- (4) The sponsoring participant shall adopt risk-mitigating measures to ensure that the risks it assumes as sponsor are kept at manageable level. These measures include the performance of due diligence to ensure that the participant it sponsors complies with the RTGS PS rules.

<sup>6</sup> In *bis.org glossary*. Retrieved from <https://www.bis.org/cpmi/publ/d00b.htm?&selection=56&scope=CPMI&c=a&base=term>

<sup>7</sup> Section 4(s) of the National Payment Systems Act

- (5) The sponsorship contract shall require the sponsored participant to submit pertinent information, if any, to the sponsor for risk management purposes.
  - (6) The sponsoring and sponsored participants shall comply with the Bangko Sentral's reporting requirements pertaining to the sponsorship.
- c. *FMI*s. These are infrastructures that are interlinked with the RTGS system to enable settlement of security, foreign exchange (FX), and other financial market transactions in accordance with the DvP and PVP mechanisms, which minimize the principal risk associated with such transactions.

The business between the Bangko Sentral and the operator of an FMI that interfaces with the RTGS PS shall be conducted in accordance with a contract in an appropriate form (e.g., Terms of Reference, Memorandum of Agreement, Memorandum of Understanding, etc.), the provisions of which shall be compliant with these rules.

- d. *CSO*s. These are clearing organizations that are permitted to interconnect with the RTGS system for purposes of settling retail payments in accordance with the National Retail Payment System regulatory framework.

The interlinkage of the CSOs with the RTGS PS shall be in accordance with operating guidelines or a formal agreement between the Bangko Sentral and the CSO. The provisions of the guidelines or agreement shall be consistent with these rules.

- e. *CSP*s. These are technology companies that provide solutions which are vital to the operation of the RTGS PS.

Prior to providing services to the RTGS PS, a CSP shall enter into a service contract with the Bangko Sentral, the provisions of which shall be aligned with these rules.

**606 Participation Requirements and Procedure.** The Bangko Sentral adopts fair and risk-based criteria for determining the entities that can participate in the RTGS PS. While participation is open regardless of the size of a prospective participant and the complexity of its business, the Bangko Sentral considers the applicants' capacity to fulfil operational, financial, legal, and regulatory pre-requisites to manage participant-induced risks for the safety and efficiency of the payment system:

- a. *Operational requirements.* The participants shall comply with the Bangko Sentral's connectivity requirements, which enable even small financial institutions to participate in the RTGS PS. As required under Section 613 below, the participants shall also have a comprehensive risk management system, which shall include system access controls, information security measures, and business continuity plan.
- b. *Financial requirements.* The participants shall manage their daily liquidity positions and credit exposures in order not to cause settlement failure, which may have systemic impact on the payment system.
- c. *Legal and regulatory requirements.* The participants shall possess the necessary licenses, authorities, and membership(s) to be able to participate in the payment system.

The institutions applying to settle transactions through the RTGS PS shall comply with the requirements and undergo the process shown in Annex 1. The Bangko Sentral department that is responsible for evaluating the application may gather relevant information from other Bangko Sentral department(s).

**607 Cessation of Participation.** Participation in the RTGS PS may be terminated through any of the following modes, as applicable to the case of the concerned participant:

- a. *Voluntary Withdrawal* – refers to a mode where the participant voluntarily ends its participation or surrenders its secondary license (e.g., banking license), subject to the approval of the Bangko Sentral;
- b. *Closure of Operation* – results from a decision of the MB or any lawful authority to order the dissolution, revocation of license, or prohibit a participant from doing business in the Philippines;
- c. *Merger or consolidation* – terminates the participation of the merged or acquired entity after the approval of the merger or consolidation by the MB or any lawful authority; or
- d. *Placement under insolvency, bankruptcy or rehabilitation by a competent court or quasi-judicial agency* – results in the deactivation of a participant's account upon receipt by the Bangko Sentral of a notification from the participant, which is required to inform the Bangko Sentral on the day of the participant's receipt of the order or resolution issued by the court or quasi-judicial agency.

The Bangko Sentral shall issue an Advisory on the cessation of participation of any of the participants.

The process involved in the cessation of participation through voluntary withdrawal is provided in Annex 2.

## **608 Messaging Channels and Communication Standards**

- a. *Messaging Channels.* A participant may use one or more of the following payment messaging channels:
  - (1) *Society for Worldwide Interbank Financial Telecommunication (SWIFT) messaging system* – an internationally accepted messaging system that runs through a leased line;
  - (2) *Participant Browser* – a web-based messaging system provided by the Bangko Sentral to certain RTGS PS participants; and
  - (3) *Virtual Private Network - Straight Through Processing (VPN-STP) Gateway* – a communication module that provides a means of financial message exchanges between the central node and the participants' platforms using a VPN connection.

Due to changes in the operating environment of the Peso RTGS PS, the Bangko Sentral may terminate or enhance any of the above channels, as well as provide additional means of system access. A transitory period shall be set out to ensure the smooth implementation of any of these changes.

- b. *Communication Standards.* The participants shall comply with the payment messaging standards, including the mandatory message contents, required by the Bangko Sentral<sup>8</sup>. They shall refer to pertinent Bangko Sentral issuances, such as the Rulebook PH-ISO 20022<sup>9</sup> Standard on Payment Messages, for guidance on compliance with this rule.

**609 Types of Transactions.** The RTGS system shall settle Peso-denominated funds transfers. These transfers represent time-critical and high-value payments, which include:

- a. Movements of funds between the individual participants' proprietary accounts;
- b. Interbank/inter-institution transfers for proprietary transactions;
- c. Interbank/inter-institution transfers for further credit to customer accounts;
- d. Government collections;
- e. Withdrawals from and deposits into the accounts maintained with the Bangko Sentral;
- f. Transactions with the Bangko Sentral Financial Markets, including placements in deposit facilities and maturities of deposits, availments and maturities of the Overnight Lending Facility, and purchase or sale of FX and securities;
- g. Settlements related to the Bangko Sentral's Intraday Liquidity Facility (ILF);
- h. The money settlement leg of security trades;
- i. The Peso leg of FX trades;
- j. Clearing results for checks, automated teller machine (ATM) transactions, digital payments, and other types of retail payments; and
- k. Other large value transactions or those that are not considered as retail payments under Bangko Sentral regulations.

**610 Settlement.** Money settlements through the RTGS system shall comply with the following rules:

- a. *Operating hours.* The Bangko Sentral shall prescribe the normal operating hours of the RTGS PS. Exceptions to regular business hours shall be in accordance with the Bangko Sentral regulation on Public Sector Holidays and other announcements of the Bangko Sentral.
- b. *SA balances.* Before the opening of the RTGS PS, the Statements of Account (SOAs) as of the immediately preceding business date shall be released to the participants that maintain SAs with the Bangko Sentral. The system shall be able to display the real-time account balances of these participants at any time during the system's business hours.
- c. *Required Levels of SA balances.* The concerned participants shall maintain an appropriate level of SA balances to cover their outgoing payments in a timely manner. To prevent settlement risk arising from an unreasonable number of transactions that cluster towards the end of the business day, the participants that habitually schedule their settlements near the close of business to take undue advantage of funding from incoming payments shall be subject to appropriate penalties and sanctions under Section 621 below.
- d. *Execution of settlement instructions.* The execution of settlement instructions shall be done following the guidelines set out below:

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<sup>8</sup> Bangko Sentral Circular Letter (CL) No. 2019-053 dated 5 August 2019

<sup>9</sup> Universal Financial Industry Message Scheme

- (1) The processing of any settlement instruction shall be subject to the sufficiency of funds in the SA of the sending participant.
  - (2) Settlements shall be based on a set of business priority codes assigned to payment transactions. Payments to participating government institutions shall be prioritized over all other transactions.
  - (3) Settlement shall be allowed only if the sender and receiver maintain SAs with the Bangko Sentral. In case of sponsored participation, the sponsoring participant is construed to be the sender of the outgoing payments and receiver of the incoming settlements of the sponsored participant.
  - (4) Electronic notifications on the status of settlement shall be sent to the sending participant if the payment were rejected or queued, or to both the sending and receiving participants if the transaction were settled.
  - (5) Except for settlements of clearing results, which are subject to the rule under the next item, the RTGS system shall place the amount to be settled in the queue if the account balance of a sending participant were insufficient, until the:
    - (i) SA balance increases to a level that adequately addresses the shortfall;
    - (ii) participant cancels the transactions; or
    - (iii) RTGS PS has closed for business.
  - (6) Clearing results, except for ATM transactions, shall be settled on an "all or nothing" basis.
  - (7) The RTGS system shall have a gridlock resolution mechanism to ensure continuous flow of settlements.
  - (8) The RTGS system shall reject all transactions that remain in the queue at close of business.
- e. *Manual Settlements.* Participants requesting manual settlements i.e., the encoding of settlement instructions by the concerned Bangko Sentral department, may be accommodated under the following circumstances:
- (1) Settlement of transactions cannot be completed due to technical and/ or connectivity issues, as validated by the Bangko Sentral's IT Support Team; or
  - (2) A payment has been erroneously credited to any of the SAs of the Bangko Sentral departments, giving rise to the obligation of the Bangko Sentral to make another transaction for the return of the erroneous funds transfer.

To instill discipline in the participants, the Bangko Sentral may impose penalties and sanctions on a sending participant that requests a manual adjustment to correct its error.

Requests for manual transfers from a participant to a non-participant, or vice versa, shall not be accommodated.

The manual settlement process is provided in Annex 3.

- f. *Extension of Business Day.* The Bangko Sentral may extend end of day (EOD) upon confirmation of unforeseen events, which give rise to abnormal RTGS PS conditions that hamper real-time settlement. These conditions refer to delays, disruptions, and other operational problems and issues, including those pertaining to ancillary systems that connect to the Peso RTGS system. The Bangko Sentral shall issue an Advisory to announce an extended EOD not later than the normal close of business.
- g. *Finality of settlement.* When a payment is transmitted by a participant, FMI, or CSO to the RTGS PS and the SAs of the paying and receiving participants have been debited and credited, respectively, in the RTGS system, said payment shall become final and irrevocable and shall not be subject to reversal for any reason whatsoever: provided, that, if it is shown and established that the payment was not legally due, the settlement shall remain valid and the return of the amount transferred shall constitute a new monetary obligation between the receiving participant and the sending participant.

The settlement of an ILF drawdown and the subsequent return of the amount drawn shall be deemed final and irrevocable once the SA of the concerned participant has been credited or debited in the RTGS system.

The RTGS PS shall not allow backdating of settlements except in extraordinary circumstances where the RTGS PS needs to invoke extended EOD operation.

- h. *Exchange-of-value settlements.* To manage principal risk, the RTGS PS, in coordination with the other FMIs that interface with it, shall adhere to the DvP mechanism where it shall settle the money leg of a security transaction only when the security involved has been delivered or at least earmarked by the concerned FMI in favor of the buying participant. The RTGS PS shall also adopt the Pvp mechanism, where it shall settle the Peso leg of an FX trade only when it has received a settlement instruction from the FMI on the other end.
- i. *Automatic rejection of settlement instructions.* Any instruction received by the RTGS system before the activation of the payment receipt functionality of the system and after the close of business shall be automatically rejected.
- j. *Payment returns.* The return of any erroneous settlement, such as a payment to the wrong participant, a duplicate funds transfer, or an over-payment, shall be requested by the sending participant from the receiving participant. If the receiving participant that has control over the funds at the time of the request fails to return the funds until the next business day, the sending participant is entitled to claim compensation in accordance with the following rules:
  - (1) The claim for compensation shall be covered by an indemnity or written undertaking by the sending participant and shall be made within five (5) business days from the date of the erroneous settlement. Otherwise, such claim for compensation may not be honored by the receiving participant.
  - (2) The claim for compensation shall be computed based on the following formula:

$$\text{Compensation} = (\text{Amount of Payment}) \times (\text{average Bangko Sentral Overnight Deposit Facility rate}) \times (\text{No. of Days of Delay}) / 360$$

- k. *Housekeeping.* EOD procedures such as maintaining back-up files and releasing statement messages shall be performed after the RTGS PS business hours.
- l. *Reconciliation.* Each participant shall be responsible for the reconciliation of the SA balances between the participant's record and that of the RTGS system. Any discrepancy noted during reconciliation shall be reported for resolution to the concerned Bangko Sentral department within seven (7) days from receipt of the statement of account.

**611 Settlement Guarantee Mechanisms.** The RTGS PS shall implement the settlement guarantee mechanisms that the Bangko Sentral prescribes for payments that are settled following the DNS scheme.

**612 Settlement of Disputes Participants.** Disputes that may arise between participants on matters pertaining to their RTGS transactions shall be resolved by the ManCom. Final decisions of the ManCom shall be binding on all parties to the dispute.

**613 Comprehensive Management of Risk.** In line with the Bangko Sentral's regulatory expectations from institutions subject to its supervision and oversight, the Bangko Sentral expects that the management of risks arising from participation in the RTGS PS is an integral part of the participants' operation. To ensure that risks are comprehensively addressed, the participants shall establish policies, procedures, and controls, which are aimed at mitigating legal, credit, liquidity, general business, and operational risks. The participants shall consider not only the risks to themselves but also those that they pose to the RTGS PS.

**614 Reporting Requirements.** A participant shall submit reports that the Bangko Sentral may require on a periodic or on call basis. These reports, which include an annual Attestation Report certifying that the participants continue to comply with the terms and conditions on participation, should be accurate, complete, and timely<sup>10</sup>.

**615 Intraday Liquidity Facility (ILF).** The Bangko Sentral provides an ILF to eligible participants to ensure that payments smoothly flow through the RTGS PS and that interdependent settlements are executed in a timely manner to manage systemic risk.

The ILF operation shall be in accordance with Section 290 of the MORB and Sec. 4278Q of the Manual of Regulations for Non-Bank Financial Institutions. As an incentive to financial institutions that participate in the RTGS PS, the Bangko Sentral imposes no fee on ILF provided that the concerned participant settles its obligation within the prescribed period on the same day the ILF is used.

**616 Incident Management.** Given the crucial role of the RTGS PS in the financial system and the economy in general, the participants shall manage adverse incidents in collaboration with the Bangko Sentral. In particular, the participants shall:

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<sup>10</sup> Should be free from error and submitted with supporting information, as necessary, within the timeline prescribed by the Bangko Sentral

- a. Report immediately any problem on system access, report generation, transaction monitoring, receipt of settlement notifications, and other relevant issues after determining that the problem is attributable to external factors based on investigation and support conducted by their IT teams;
- b. Coordinate with the Bangko Sentral in addressing the problem after receiving Bangko Sentral notifications and instructions through email, advisory, and the official social media platform which has been created by the Bangko Sentral exclusively for the RTGS PS participants;
- c. Make available any assistance and resources expected on their end to contribute to efficient problem resolution; and
- d. Inform the Bangko Sentral as soon as they have noted that the problem has been addressed.

**617 Business Continuity.** The participants shall operate with a resilient, documented, and tested business continuity plan (BCP), which shall be compliant with the requirements of Section 129 of the MORB and Section 148-Q of the MORNBF on Business Continuity Management, as applicable, and shall provide for the following contingency measures:

- a. *Primary fallback facility(ies).* Back-up facilities which are located at the main site;
- b. *Remote recovery site(s).* Places which are sufficiently distant from the main site and can be readily accessed for resumption of operation;
- c. *Connectivity back up(s).* Secondary lines and network connections; and
- d. *Alternative operating procedure(s).* Measures enabling settlement processing, should a disruption prevent the performance of business-as-usual procedures.

To strengthen their BCPs, the participants may have multiple access channels in place. These channels include SWIFT, RTGS Participant Browser, and VPN-STP.

In the case of FMIs and CSOs that interface with the RTGS system, a joint BCP between the Bangko Sentral and the FMIs/CSOs shall be adopted to ensure end-to-end continuity of interlinked clearing and settlement.

The participants shall review their BCPs at least annually to keep their plans attuned to evolving market and payment system developments, as well as technology advancements or enhancements. The BCPs shall also be tested, on an annual basis, at a minimum, to ensure that they remain effective despite changes in operating conditions.

Should the Bangko Sentral conduct a BCP test involving external stakeholders, the concerned participants shall take part in said test.

**618 System Enhancement and Testing.** The Bangko Sentral may implement system enhancements in response to the participants' needs. The proposed system enhancements that require coordination between the Bangko Sentral and the participants are those that involve alterations to system functionalities, operational timelines, settlement procedures, access controls, and other significant system modifications.

System enhancements shall undergo rigid testing before these are promoted to the production environment. Should testing involve the participants, they shall

cooperate and make the required resources available for the successful conduct of the tests.

The participants shall implement any operational and/or technical changes required on their end to maintain compatibility of their respective environments with the RTGS system.

**619 Settlement Fees and Other Charges.** Payments made through the RTGS system are subject to settlement fees and other charges, which shall be automatically debited from the SAs of the participants. The fees and charges shall support the operation and development of the RTGS PS.

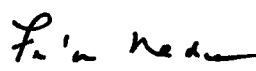
The pricing methodology shall be reviewed periodically to determine any necessary adjustment in response to internal and external developments. The fees and charges may be waived as a relief measure or an incentive for the participants.

**620 Supplementary Rules.** The participants shall comply with the supplementary rules that the Bangko Sentral may issue to properly implement certain provisions of these rules, including, but not limited to, procedural guidelines for settlement of disputes, reporting requirements, fees and other charges, and business day schedule.

**621 Penalties and Sanctions.** Depending on the gravity of the offense committed by a participant, the Bangko Sentral may impose penalties and sanctions, which may include fines, suspension of the participant's privilege to avail of the ILF, and suspension or termination of the participant's access to the RTGS PS. Repeat offenders shall be meted with stiffer penalties and sanctions.

**Section 2.** These Peso RTGS Rules shall take effect fifteen (15) calendar days following its publication either in the Official Gazette or in a newspaper of general circulation, and shall supersede the "Rules and Regulations Governing the Philippine Payment and Settlement System (PhilPaSS)" dated 20 May 2019.

For guidance and implementation.

  
**FELIPE M. MEDALLA**  
Governor

22 November 2022

**Participation Requirements and Procedure<sup>11</sup>**

- a. The applicant shall submit the following documents<sup>12</sup> in support of its application for participation:

- (1) Original copy of the following documents to be transmitted to:

The Director  
Payments and Settlements Department (PSD)  
Room 101, 5-Storey Building  
Bangko Sentral ng Pilipinas  
A. Mabini Street, Malate, 1004 Manila

- (i) Application Letter;
  - (ii) Signed and notarized Participation Agreement that defines the roles and responsibilities of the Bangko Sentral and of the Participant;
  - (iii) Virtual Private Network (VPN) Connectivity Registration Form<sup>13</sup>;
  - (iv) Secretary's Certificate attesting to the resolution of the applicant's Board, authorizing the institution to apply for participation in the RTGS PS, providing the list of authorized officers/signatories, and certifying the specimen signatures of these authorized officers/signatories; and
- (2) Electronic submission of the scanned copies of the above documents is allowed, provided that:
- (i) such copies are accompanied by a duly accomplished Summary Statement Form (SSF) and each page of said documents, including the SSF, is certified by the applicant's authorized officer;
  - (ii) emailed with a subject in this format: <Application>underscore<RTGSPS>underscore<Applicant's Acronym>underscore<type of submission>; and
  - (iii) sent by a registered email sender to the Director, PSD at RTGS@bsp.gov.ph.<sup>14</sup>

The Bangko Sentral may require supporting documents other than those enumerated above.

- b. Applications with complete documents shall be processed by the Bangko Sentral. If the submission were incomplete or erroneous, the applicant shall receive a Notice of Deferment of the processing of its application.
- c. A successful applicant shall comply with the following requirements prior to the activation of its account:

<sup>11</sup> Applicable only to institutions applying to settle transactions through the RTGS PS

<sup>12</sup> Templates posted on the Bangko Sentral website ([www.bsp.gov.ph](http://www.bsp.gov.ph))

<sup>13</sup> Connection using a leased line

<sup>14</sup> Bangko Sentral Memorandum No. M-2020-070 dated 21 September 2020 (e-Submission of Documents to the Payments and Settlements Office)

- (1) Allow the Bangko Sentral to configure and test the Participant's VPN connectivity;
  - (2) Attend a briefing on the use of the RTGS PS Participant Browser to be conducted by the Bangko Sentral; and
  - (3) Enroll its authorized user(s) by submitting the RTGS PS Participant Browser User Account Form to the PSD.
- d. The Bangko Sentral shall issue a non-transferrable *Smart Card* kit<sup>15</sup> to each enrolled user, who is authorized by the Participant to send payment messages to the RTGS system on its behalf. The Participant shall be accountable for the use of the *Smart Card*.
- The Participant can deactivate or lock the access of any of its registered RTGS system users by electronically submitting to the PSD a User Account Form, requesting deactivation or locking of the user's profile in the RTGS system.
- e. The Participant shall submit a duly accomplished Channel Registration Form if it intends to use SWIFT or the VPN-STP payment messaging channel.

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<sup>15</sup> The Smart Card Kit contains the card with personal identification number (PIN) and personal unblocking key (PUK), and the reader.

**Cessation of Participation in the RTGS PS through Voluntary Withdrawal**

- a. The Chief Executive Officer, or its equivalent, of the Participant shall formally notify the Bangko Sentral of its voluntary withdrawal of participation from the RTGS PS. This letter shall disclose the reason for voluntary withdrawal and the effectivity date, which should not be earlier than seven (7) working days from the Bangko Sentral's receipt of such notification.
- b. The letter shall be addressed to:

The Director  
Payments and Settlements Department (PSD)  
Room 101, 5-Storey Building  
Bangko Sentral ng Pilipinas  
A. Mabini Street, Malate, 1004 Manila
- c. If the notification is electronically sent, the copies of the letter and Summary Statement Form (SSF), each page of which must bear the stamp "Certified True Copy" and the signature of the Participant's authorized officer, shall be emailed by a registered email sender to the Director, PSD, at RTGS@bsp.gov.ph.
- d. The Participant may be required to submit other documentary requirements, as deemed necessary.
- e. The Bangko Sentral shall acknowledge receipt of the Participant's letter of voluntary withdrawal and advise the Participant of the date of closure of its SA, as determined by the Bangko Sentral.
- f. The Bangko Sentral shall issue an Advisory on said termination of participation.

**Procedure for Manual Settlements**

- a. The Participant shall accomplish the Manual Settlement Form (MSF),<sup>16</sup> signed by two (2) authorized signatories as indicated in its Secretary's Certificate.
- b. If the MSF and Summary Statement Form (SSF) are electronically submitted, each page of such forms shall be stamped with "Certified True Copy" and signed by the Participant's authorized officer(s).
- c. Using the email that is registered with the Bangko Sentral Payments and Settlements Department (PSD), the Participant shall send the duly accomplished forms to RTGS@bsp.gov.ph on or before 5:30 p.m. on the value date of the settlement. Any request received after this cut-off time shall not be accommodated.
- d. The PSD shall evaluate the request. Upon approval, the PSD shall encode the corresponding entry.
- e. The PSD shall confirm the execution of the manual settlement by returning a copy of the Bangko Sentral-approved MSF to the Participant via email.
- f. The sending and receiving Participants may view the amounts posted under their SAs, through the RTGS system.

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<sup>16</sup> Template posted on the Bangko Sentral website ([www.bsp.gov.ph](http://www.bsp.gov.ph))